The Film Industry

The Studio System

Organization

The studio system's roots go back to the first decade of the twentieth century and the pioneering attempts of men such as Thomas Edison, Carl Laemmle, Thomas H. Ince, and D. W. Griffith to make, distribute, and exhibit movies.

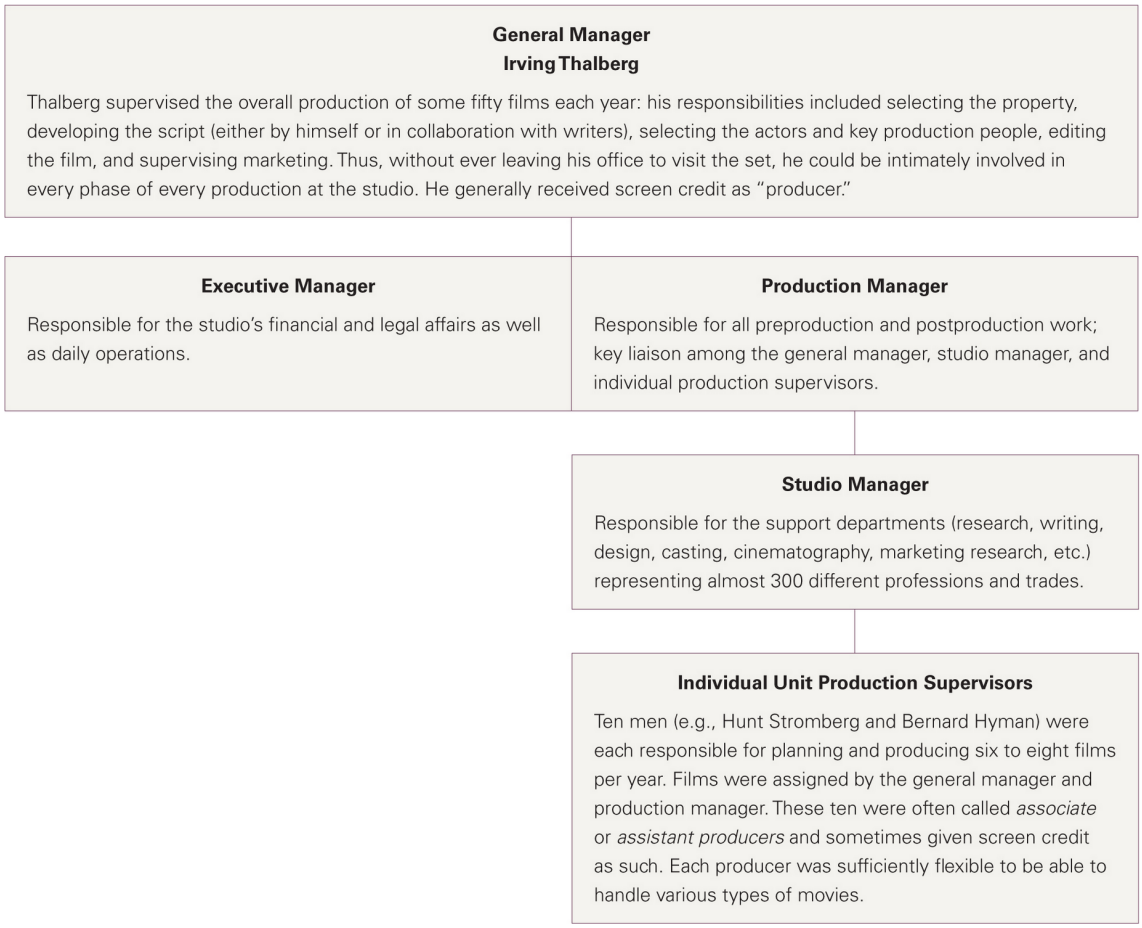
Between 1907 and 1913, a large number of movie production companies in New York and New Jersey migrated to various spots in warmer climates, including Florida, Texas, and New Mexico. But eventually the main companies settled in southern California, in and around Hollywood. They did so to take advantage of the year-round good weather, the beautiful and varied scenery, the abundant light for outdoor shooting, and the geographic distance from the greedy MPPC. Soon these companies had a critical mass of both capital and talent on which to build an industry. By 1915, more than 60 percent of the American film industry, employing approximately 15,000 workers, was located in Hollywood.

The early studios relied on a system dominated by a central producer, a person in charge of the well-organized mass production system that was necessary for producing feature films. This system of central production began in 1912 and was the dominant practice by 1914.

Before 1931, typical Hollywood studios were dominated by central producers such as Irving Thalberg at Metro-Goldwyn-Mayer, Adolph Zukor at Paramount, and Harry and Jack Warner at Warner Bros. By the late 1920s, the film industry had come to see that the central-producer system encouraged quantity over quality and that less-than-stellar movies did not draw audiences into theaters. As a result, the industry sought a new system, one that would value both profits and aesthetic value.

In 1931, the film industry adopted the producer-unit system, an organizational structure that typically included a general manager, executive manager, production manager, studio manager, and individual production supervisors.

Figure 11.4 | PRODUCER-UNIT SYSTEM AT MGM



The system produced movies that had a predictable technical quality, often at the cost of stylistic sameness, or what we call the studio "look." It resulted in an overall output that inevitably—since hundreds of films were produced each year—valued profitability above all else. Yet although it could be stifling, standardization allowed for creative innovation, usually under carefully controlled circumstances. To help ensure such creativity, unit producers received varied assignments.

The Hollywood studio system established the collaborative mode of production that dominated American filmmaking during its golden age while influencing the mode of film production worldwide. The studio system also established an industrial model of production through which American filmmaking became one of the most prolific and lucrative enterprises in the world. Furthermore, although its rigidity ultimately led to its demise after some 40 years, the system contained within itself the seeds—in the form of the independent producers that would replace it—to sustain American film production until the present day.

The Golden Age of Hollywood

By the mid-1930s, Hollywood was divided into four kinds of film production companies: majors, minors, “B” studios, and independent producers. The five major studios—Paramount, MGM, Warner Bros., 20th Century Fox, and RKO—were all vertically integrated companies, meaning that they followed a top-down hierarchy of control, vesting ultimate managerial authority in their corporate officers and boards of directors.

Controlling film production through their studios and, equally important, film distribution (the marketing and promotion of a film) and exhibition (the actual showing of a motion picture in a commercial theater) through their ownership of film exchanges and theater chains, the majors produced “A” pictures, meaning those featured at the top of the double bill (ordinarily, for the price of a single admission, moviegoers enjoyed almost 4 hours of entertainment: two feature films, a cartoon, a short subject, and a newsreel).

Table 11.1 | STRUCTURE OF THE STUDIO SYSTEM UNTIL 1950

Major Studios	Minor Studios	Most Significant “B” (Poverty Row) Studios	Most Significant Independent Producers
1. Paramount	1. Universal Studios	1. Republic Pictures	1. Samuel Goldwyn Productions
2. Metro-Goldwyn-Mayer	2. Columbia Pictures	2. Monogram Productions	2. David O. Selznick Productions
3. Warner Bros.	3. United Artists	3. Grand National Films	3. Walt Disney Studios
4. 20th Century Fox		4. Producers Releasing Corporation	
5. RKO		5. Eagle-Lion Films	

The three minor studios—Universal, Columbia, and United Artists—also produced “A” pictures, but they were less similar than the majors. Universal and Columbia owned their own production facilities but no theaters, and thus depended on the majors to show their films.

The five B studios (sometimes called the *poverty row* studios because of their relatively small budgets) were Republic Pictures, Monogram Productions, Grand National Films,

Producers Releasing Corporation, and Eagle-Lion Films. Their B movies filled in the bottom half of double bills.

The producer guides the entire process of making the movie, from its initial planning to its release. This person is chiefly responsible for the organizational and financial aspects of the production, from arranging the financing to deciding how the money is spent. The studio system was dominated by producers who, in turn, depended on directors who were under studio contract to direct a specific number of films in each contract period.

The work of the director is to determine and realize on the screen an artistic vision of the screenplay; cast the actors and direct their performances; work closely with the production designers in creating the look of the film, including the choice of locations; oversee the work of the cinematographer and other key production personnel; and in most cases, supervise all postproduction activity, including the editing.

The Decline of the Studio System

Fostered by aggressive competition and free trade, the studio system grew to maturity in the 1930s, reached a pinnacle of artistic achievement and industrial productivity in the 1940s, and then declined at the beginning of the 1950s. We can see this trajectory clearly by looking at the actual number of films produced and released by American studios during that downward swing.

By the mid-1930s, in fact, the system had reached a turning point because of three intertwined factors. First, the studios were victims of their own success – the central producers had built highly efficient operations. They were victims of their own success.

Second, several actions taken by the federal government signaled that the studios' old ways of doing business would have to change. President Franklin D. Roosevelt's plan for the economic revitalization of key industries—the 1933 National Industrial Recovery Act—had a major impact on Hollywood. On the one hand, it sustained certain practices that enabled the studios to control the marketing and distribution of films to their own advantage; on the other, it fostered the growth of the labor unions, perennially unpopular with the studio heads, by mandating more thoroughgoing division of labor and job specialization than Hollywood had yet experienced. In 1938, however, the federal government began trying to break the vertical structure of the major studios—to separate their interlocking ownership of production, distribution, and exhibition—an effort that finally succeeded in 1948.

Third, the studios began to reorganize their management into the producer-unit system. Each studio had its own variation on this general model, each with strengths and

weaknesses. Although the resulting competition among the units increased the overall quality of Hollywood movies, the rise of the unit producer served as a transition between the dying studio system and the emergence of the independent producer.

Three additional factors further undercut the studio system. The first was a shift in the relations between top management and creative personnel that loosened the studios' hold on the system. The second factor was World War II, which severely restricted the studios' regular, for-profit operations (they were also making movies that supported government initiatives, such as films instructing people how to cope with food rationing or encouraging them to buy war bonds). The third blow to the studio system was the rise of television, to which Hollywood reacted slowly.